Quarterly Operations Report

Harbor & Pine Studio — third quarter

Summary

Orders shipped on time rose in the third quarter, and returns fell for the second quarter in a row. The studio kept all of its work on its own machines.

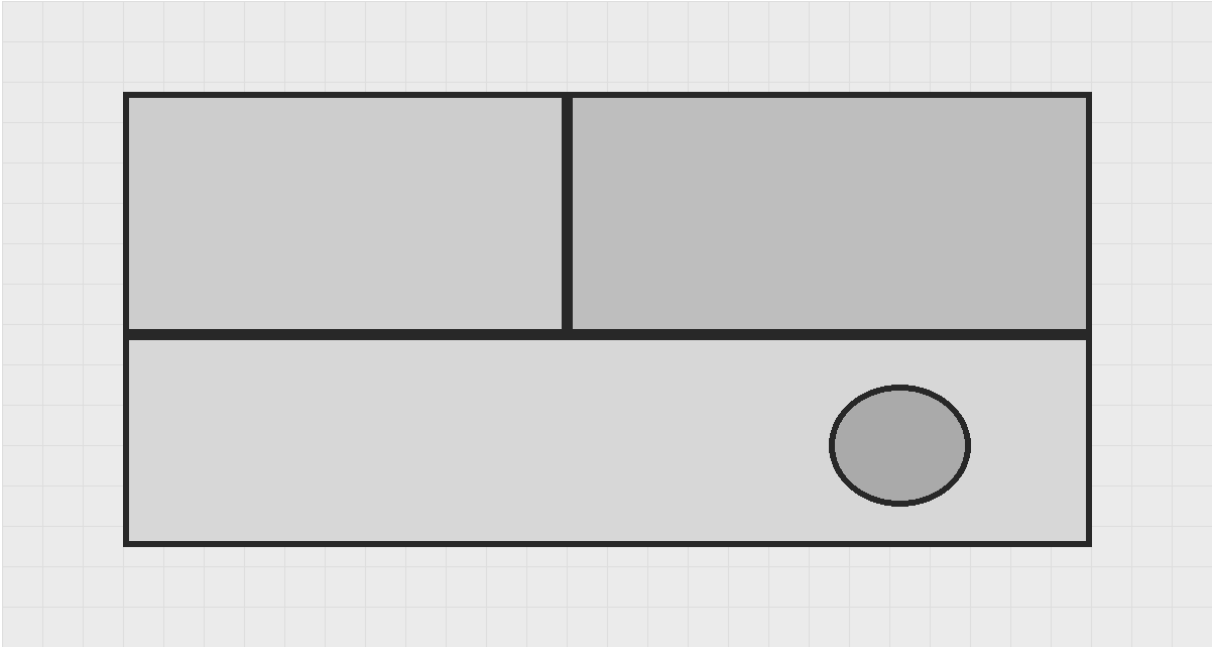
The warehouse move finished two weeks early. Staffing stayed flat while the number of orders grew, which is the result the plan asked for.

Results by region

Region	Orders	On time	Returns
North	1,240	96%	1.8%
South	980	94%	2.4%
East	1,515	97%	1.5%
West	760	93%	2.9%
Total	**4,495**	**95.6%**	**2.1%**

Warehouse layout

The new floor plan puts packing next to the dock and moves slow stock to the back wall.



Next quarter

Two things are planned: a shared pick list for the East and West sites, and a review of the supplier terms in the services agreement on the next page.

Services Agreement

Between Harbor & Pine Studio and Northfield Packaging Ltd.

Northfield Packaging supplies cartons and tape to the studio on the terms below, for twelve months from the date of signing.

Prices are fixed for the term. Either side may end the agreement with thirty days' notice in writing.

Signed for Harbor & Pine Studio: